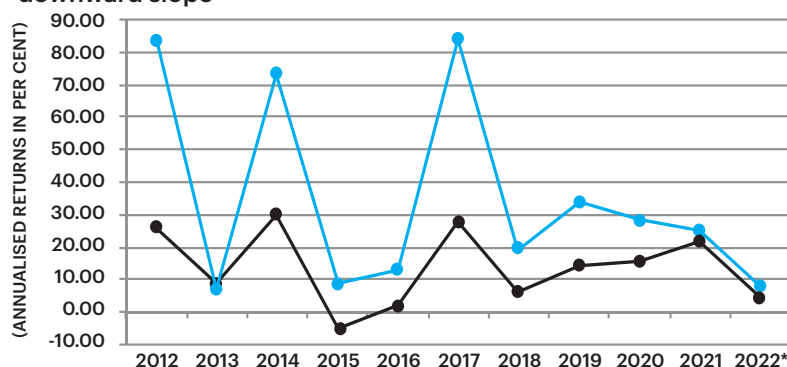


RETURNS ROSTER

Post 2017, the returns given by the stock have been on a downward slope



■ BSE SENSEX ■ HDFC BANK; *TILL NOVEMBER 10 SOURCE ACE EQUITY

GRAPHICS BY RAHUL SHARMA

merger in progress, which is expected to be completed by Q2FY24.

Harendra Kumar, MD of Elara Securities, believes three key factors are currently weighing on the stock. "The first is the combined company's weightage in the index. Second is the management transition. Third, regulatory strictures related to its IT outage and credit card business," he says.

Kumar says that analysts were used to seeing Aditya Puri at the helm for nearly three decades. After he retired, Sashidhar Jagdishan took over as MD & CEO. "It's a credit to Jagdishan as there has not been a single quarter when it [the bank] has missed the numbers. But people might want to wait for a few more quarters before they get full confidence [in Jagdishan]," he says.

Incidentally, stock exchanges are mulling a change in the index rebalancing framework to avoid a situation where the HDFC twins have to be excluded from the benchmarks before the merger and be included again once the merger is complete, as that will lead to a huge amount of unnecessary churn in index funds.

There is, however, no dearth of

positives. Analysts are banking on factors like robust asset quality, strong loan growth, healthy deposit mobilisation, falling slippage ratio and a strong return on equity while pitching the stock to investors. "The overall performance remains strong with improving core performance and benign credit costs. Additional balance-sheet provisions should further cushion earnings. Return ratios are expected to remain best-in-class," says Sandeep Bhardwaj, CEO-Retail, IIFL Securities. He says the bank's stock performance has lagged peers largely owing to merger-related issues including earnings impact, incremental liability generation and other concerns.

While there may well be concerns in the near term, the long-term outlook for HDFC Bank appears robust with analysts pegging hopes on the fact that the merged entity will play a key role in the overall scheme of things in making India a \$5-trillion economy.

"HDFC Bank will become one of the top banks globally. This is important because if we are talking about a \$5-trillion economy, then who will cut the ultra large-sized

cheques apart from SBI? Post-merger, HDFC Bank will be able to grow exponentially because of its size, a factor that will be missed in other private sector banks," says Kumar.

Another positive, analysts say, is the fact that the merged entity would enjoy a significantly higher weightage in the MSCI index compared to what HDFC currently has.

Meanwhile, analysts who have interacted with the management recently say the bank seems to be confident of growing consistently at a rate of 18-20 per cent. "Scale benefits, longevity of retail loans, room to grow unsecured loans, uncompromised profitability despite large acquisitions, cross-sell benefits to potential home loan customers and large net worth for the wholesale business are the immediate benefits of the merger," says Bhardwaj.

Vaidyanathan is betting on the fact that the power of bundling will also drive deposit growth as a large chunk of HDFC customers do not have an account with HDFC Bank. He says that housing is going to be one of the key drivers of the Indian economy over the next decade and home loans are going to be a big factor in that story. The CFO adds that home loan customers usually keep deposits that are five to seven times that of retail customers, and coupled with their longer tenures, they lend strength to the balance sheet. "Since about 70 per cent of HDFC Ltd's customers do not bank with us, the size of the opportunity is huge," says Vaidyanathan. The merger, he adds, is "a win-win for both entities" and HDFC Bank believes that it will present "far more opportunities than challenges".

Despite the near-term challenges, HDFC Bank has interesting days ahead, and the analyst and investor communities will be closely watching its every move. **BT**

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